To: Senior consultant
From: Chief executive officer (CEO)
Date: 4 March 20X5
Subject: Changes at HP

The trustees want me to drive forward strategic change at HP. There are three areas where I need your advice.

1. Programme of changes

I want to introduce a programme of changes which maximise the income we obtain from our assets, so that we have more funds to fulfil our charitable purposes. The programme includes our sites hosting more hospitality events, such as weddings, and also putting on special exhibitions for which we can charge separate fees. I want more employee and volunteer time to be spent on income-generating activities such as giving guided tours for fees. I also want us to invest in e-commerce to provide a new sales channel for our goods, and in e-marketing to increase our visibility.

However, I know that I may face issues in implementing this programme. These include the need to maintain our charitable purpose and comply with other restrictions on our activities. I have to consider how prepared our employees and volunteers will be to change. I also need to assess whether we have the resources to implement change effectively and how I can lead the implementation of change.

2. Executive board remuneration and employment contracts

I must ensure we keep a top-quality executive management team. What I propose is:

– Benchmarking the salaries of key members of the executive board against salaries in the commercial sector and increasing them as required. Our marketing director is joining a company in the commercial sector for a much higher salary and I want to avoid other executive board members leaving.

– Paying an annual bonus to the executive board which is a percentage of the annual financial surplus which HP achieves. The amount of bonus will be split equally amongst all members of the board, including myself.

– Increasing the length of executive board members' employment contracts from one year to three years to help to motivate them to stay at HP.

3. Leadership qualities

I shall be presenting to the executive board on leadership qualities they need to demonstrate to support the changes I propose, particularly what is needed to ensure changes are implemented successfully and to deal effectively with important stakeholders.

I look forward to hearing from you.